BRIEF - Tuesday, June 2nd, 2026

HEADLINE OF THE DAY

*Iran-US war sends oil soaring (+3.3%), Copper +4.3% **- Kevin Warsh confirmed as Fed Chair amid surging inflation (PPI +6% YoY, highest since 2022). Markets rally (+1.16% S&P) but geopolitical risks dominate: US strikes in Iran, peace deals in negotiation, and BTC correcting hard (-7.3%).** JOLTS at highest level in ~2 years** - labor market remains resilient despite everything.

GLOBAL SENTIMENT

****VIX** ? 16.08 (-1.29%) | ? Calm**

****S&P 500** ? 7,607 (+1.16%) | ? Bullish**

****NASDAQ** ? 27,120 (+1.74%) | ? Tech leads**

****DXY** ? 99.12 (+0.10%) | ? Stable**

****Gold** ? $4,531 (+0.71%) | ? Timid despite geopolitics**

****WTI** ? $91.84 (+3.31%) | Surge**

****Brent** ? $94.78 (+1.14%) | ?**

****BTC** ? $68,045 (-7.26%) | Crypto risk-off**

****Copper** ? $6.67 (+4.34%) | Surge**

****Silver** ? $76.08 (+0.58%) | ?**

****US 10Y** ? 4.449% (-0.71) | ? Falling**

****US 30Y** ? 4.961% (-1.0) | ? Falling**

****US 5Y** ? 4.169% (-0.19) | ?**

Read: Mild risk-on despite Iran war. S&P and Nasdaq driven by AI boom, copper and oil in shortage/tension mode. US yields falling (safe haven), BTC and gold in correction. Paradox: gold not surging despite geopolitics - market stays hawkish, Warsh seen as FOMC-dovish. Long bond yields decline as market prices recessionary impact within 2-3 quarters.

****MACRO - WHAT MOVED****

****US****

Kevin Warsh confirmed Fed Chair - Stephen Miran exits, Warsh enters. Trump has his man. Warsh perceived as more dovish than Powell, favoring quick rate cuts. Historic wartime transition.
PPI +6% YoY (April) - Largest wholesale inflation increase since 2022. CPI will follow with a lag.
JOLTS at highest level in ~2 years - Job openings surge, layoffs decline. Resilient labor market contradicts recession narrative.
Payrolls beat estimates but with red flags (underemployment, declining hours worked).
US in talks to expand nuclear-capable deployments in Europe - NATO-Russia escalation.
FISA Section 702 extended - Short-term surveillance reauthorization.

****EUROPE****

UniCredit raises Commerzbank stake to 34% - Major takeover, European banking consolidation accelerating.

Spain-Finland unemployment rate convergence - Historic reversal for Madrid.
Poland holds interest rates - Inflationary pressures cooling in central Europe.
BOE asset sales driving up UK borrowing costs - Internal BOE paper confirms QT side effects.
SNB has no exchange rate target for the Franc - Schlegel confirms, CHF left to markets.

CHINA / ASIA

Singapore flags weaker tourism spending - Global uncertainty hitting travel sector. Weak Asian consumer signal.
AT&T bets $250B on AI - Growing divide in the AI economy: winners take all.
Anthropic expands Mythos to 15+ countries - Aggressive expansion beyond US.

UK

Far-right murder case becomes political flashpoint - Farage under pressure, domestic instability.

EMERGING MARKETS

Canada in technical recession - Carney says data will be "uneven."
Chile seeks $6.2B in additional debt sales - Fiscal stress in Latin America.
South Africa beats primary budget surplus goal - Debt stabilized, rare EM positive.

GEOPOLITICS

HOT

Iran-US War - US strikes in Iran, ceasefire negotiations ongoing. Oil surging ($92 WTI). Analyst: extended ceasefire = worst case for energy supply. Trump blocks Russia/China from taking Iranian enriched uranium.
AUKUS developing unmanned undersea vehicles - Delivery set for 2027, Indo-Pacific axis vs China.

WATCH

Rubio on Capitol Hill - Questions on Iran + Ebola. High domestic US tension level.
Trump appoints Pulte as acting spy chief - Loyalist accumulation in intelligence agencies.
Israel: Netanyahu between Trump and voters - Election looming, domestic pressure after Trump call.
Venezuela's Rodriguez visits India - War reshaping oil trade flows.

POSITIVE

Israel-Hezbollah ceasefire talks - US yields falling on peace hopes.
US convertible bonds set for record year - Issuers harnessing AI boom.

FX FOCUS

`EUR/USD` ? 1.1650 (+0.11%) | ? Stable
`GBP/USD` ? 1.3478 (+0.17%) | ? Stable
`USD/JPY` ? 159.84 (+0.37%) | ? Weak JPY
`USD/CHF` ? 0.7862 (+0.14%) | ? SNB absent

Analysis: FX in wait-and-see mode. DXY nearly flat (99.12) despite geopolitical chaos. EUR unmoved - ECB on pause, Fed in transition. USD/JPY grinding higher (weak JPY) with rate differential still favoring USD. CHF not playing its usual safe haven role - SNB explicitly stated no target, removing the floor. GBP holding well despite BOE QT headwinds.

Pair to watch: `USD/JPY` - If BoJ intervenies to support JPY (already at 160, intervention zone),

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COMMODITIES

* Oil (WTI $91.84 / Brent $94.78)**

WTI surging (+3.3%) - Iran war is the primary driver. Traders oscillating between peace deal (oil drops) and escalation (oil $100+). Investec analyst: oil won't return to pre-war levels anytime soon. Market not prepared for Iran curveballs. A deal = lower oil, no deal = $110 tested.

* Gold ($4,531)**

Gold surprisingly timid (+0.71%) despite war. Worst month since 2013 per CNBC. Jim Cramer says gold has been trading like a speculative asset for over a year. India raised bullion import duties - weak relative physical demand. Gold crushed by high real rates and AI/risk-on narrative.

* Copper ($6.67) & Silver ($76.08)**

Copper +4.3% - The real winner today. Structural shortage + AI/data center demand + supply chain disruption. Silver follows timidly (+0.58%). Copper is the reflation barometer - it says the real economy is heating up.

TODAY'S CALENDAR

Tuesday, June 2, 2026

Time (CET)	Country	Event	Consensus	Impact
10:00	EZ	PPI M/M (Apr)	+0.2%	Medium
14:30	US	Factory Orders (Apr)	+0.5%	Medium
14:30	US	Durable Goods (Apr)	-0.5%	Medium
16:00	US	ISM Services PMI (May)	52.0	High
16:00	US	JOLTS Job Openings (Apr)	7.5M	High

Rest of the Week

Wednesday: ADP Employment, EIA Oil Inventories
Thursday: Jobless Claims, ECB Rate Decision
Friday: NFP (Non-Farm Payrolls) - The big one

****Focus on ISM Services + JOLTS today** - If ISM > 52 and JOLTS stays elevated, market must re**

DEEP MACRO THEME

*The paradox of wartime inflation in an AI boom regime.**

We're living through a historically rare moment: a major war (Iran) pushing energy prices higher, combined with PPI accelerating at +6%, while the labor market remains red-hot (JOLTS +2 years). The Fed just changed leadership - Warsh replaces Powell/Miran - and markets don't know what to price.

The consensus 3 months ago: "soft landing, cuts in June/July." The consensus today: "the next move is a hike." That's a massive narrative pivot. And yet equities rise. S&P at 7,600. Nasdaq +1.74%.

Why? Because the AI boom creates a productivity bubble masking inflationary reality. Investors see AT&T's $250B bet, Anthropic's expansion, record convertibles, and think "productivity = growth without inflation." That's the dominant narrative.

But it's a trap. Wartime inflation doesn't resolve with GPUs. If oil stays above $90 for 3 months, logistics costs rise, margins compress, and Q2 earnings will disappoint. The market is pricing 22% earnings growth for the S&P in 2026 - incompatible with $100 oil and a hawkish Fed.

The real risk isn't a hard landing. It's **stagflation light**: sluggish growth + persistent inflation + trapped Fed. The worst scenario for both sides of the portfolio (equities AND bonds).

CONSENSUS VS REALITY - THE ALPHA

****What the market is pricing:****

1. **"Warsh = dovish, cuts by September"** - Market thinks Warsh will cut fast. **VERDICT: Risky.** Warsh is dovish on long rates but an inflation hawk when needed. With PPI at +6%, he won't cut under Trump pressure alone.
2. **"AI boom offsets inflation"** - AI productivity = painless growth. **VERDICT: Partially true short-term, false medium-term.** AI doesn't reduce oil prices.

3. **"Iran deal imminent, oil will fall"** - Market hoping for deal. **VERDICT: Dangerous.** Even with a deal, oil supply doesn't return instantly. Iranian infrastructure is damaged. Oil remains structurally undersupplied.

4. **"US consumer is resilient"** - Strong JOLTS, OK payrolls. **VERDICT: Lagging.** Consumer is exhausted. Credit cards maxed, savings depleted, used car prices rising. Consumer pessimism at recessionary levels.

5. **"Long yields will fall with Fed cuts"** - 10Y at 4.45%, pricing cuts. **VERDICT: Wrong.** If inflation persists, long yields will RISE. The bond market is in a trap.

The Alpha:

1. **Long Copper / Short Gold** - Copper is the real reflation barometer. Gold crushed by real rates. Entry: CU $6.67, Gold $4,531. Target: CU $7.20, Gold $4,200.

2. **Long USD/JPY toward 162-165** - BoJ can't intervene forever. Massive USD/JPY rate differential. If US inflation persists, Fed stays hawkish, JPY weakens. Invalidation: BoJ massive intervention below 158.

3. **Short S&P via 3-month puts, strike 7,200** - Market pricing a perfect world (AI boom + Iran peace + Fed cuts). If any of these 3 pillars breaks, S&P corrects 5-8%. VIX at 16 - puts are cheap.

4. **Long Oil Dec 2026 $100 calls** - Iran war isn't over. Supply structurally tight. $100 calls price a peace scenario. If escalation continues, these calls 5x.

5. **Long 30Y Treasury bonds on rally** - If market starts pricing hard landing (disappointing Q2 earnings + consumer crash), 30Y will soar. Entry: 4.96%. Target: 4.50%.

MERTON'S TAKE

We're in a **transition regime** and nobody truly sees it.

The dominant narrative is "AI boom + soft landing + Fed cuts = everything goes up." This narrative is dangerously incomplete. It ignores three realities:

*First**, wartime inflation is real and accumulating. PPI at +6% doesn't lie. Wholesale costs transmit to consumers with a 3-6 month lag. CPI will reaccelerate in July-August.

*Second**, the Fed leadership change is not a nonevent. Warsh is Trump's man. He'll cut rates because Trump wants it, not because data justifies it. This creates a Fed credibility risk - and if the market loses faith in the Fed, long yields explode higher, not lower.

*Third**, the American consumer is on a razor's edge. Used car prices rising faster than BTC (Jim Bianco). Consumer pessimism at recessionary levels. Credit cards maxed. Savings depleted. The slightest shock (oil $100+, job loss) and the consumer collapses.

*My position: **I'm** defensive with a bias toward industrial commodities**. I'm not aggressively short equities (AI momentum is too strong), but I'm not long either. Long copper, long oil calls, S&P puts as insurance. Long USD/JPY. Neutral rates - risk is symmetric (hike OR crash).

*Trade of the week:** Long Copper ($6.67 ? $7.20). Copper is the only asset correctly pricing inflation reality + AI/data center demand. The cleanest trade right now.

*What I'm watching Friday:** NFP. If >200k + upward revisions, market must price a July Fed hike. That's the trigger for the next major move.

Sources: Yahoo Finance API (real-time prices), CNBC (World, Fed, Markets, Economy, Oil, Gold), Bloomberg RSS (Markets, Economics, Politics), FT RSS Home*
Generated at 17:00 CET - Merton v2.0*